Mindteck Middle East Limited WLL

Audited Financial Statements
for the year ended 31 March 2025

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Commercial registration number	49063
Parent Company	Mindteck India Limited
Board of directors	Paradeep Kizhakkethil Jigar Prabhudas Vasani Sathya Raja Gopal
Registered address	Office 44, Building 81 Road 1702, Block 317 Diplomatic area, Manama Kingdom of Bahrain
Bank	Citibank, Bahrain
Auditor	RSM Bahrain P.O. Box 11816, Manama Kingdom of Bahrain

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Mindteck

Board of directors' report for the year ended 31 March 2025

The Board of Directors presents its report and financial statements of Mindteck Middle East Limited WLL (the 'Company') for the year ended 31 March 2025.

Board of directors

The members of the Board of Directors are as follows:

	Designation
Paradeep Kizhakkethil	Director
Jigar Prabhudas Vasani	Director
Sathya Raja Gopal	Director

Principal activities

The principle activities of the Company are to provide:

(i) Computer programming activities; and
(ii) Computer consultancy and computer facilities management activities.

Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements are considered satisfactory.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 20 of the financial statements.

Financial performance

The Company's financial performances for the year is set out on page 8.

Independent Auditor

The independent auditor, RSM Bahrain, has expressed its willingness to be in office and a resolution giving authority to the board of directors to fix their remuneration will be proposed at the annual general meeting.

Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained cooperation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard work, dedication and loyalty during the year.

Signed on behalf of the board of directors:

K. Pradeep

Paradeep Kizhakkethil
Director

RSM Bahrain

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Independent auditor's report
To the shareholder of Mindteck Middle East Limited WLL

Opinion

We have audited the financial statements of Mindteck Middle East Limited WLL (the "Company"), which comprise the statement of financial position as at 31 March 2025, and the statement of profit or loss and other comprehensive income, the statement of changes in equity and the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of material accounting policies.

In our opinion, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2025, and its financial performance and its cash flows for the year then ended in accordance with IFRS Accounting Standards (IFRSs).

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.

- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.

- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.

- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.

- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Independent auditor's report
To the shareholder of Mindteck Middle East Limited WLL

(Continued from previous page)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, we report that:

a) the Company has maintained proper accounting records and the financial statements are in agreement therewith;

b) the financial information included in the board of directors' report is consistent with the books of account of the Company; and

c) nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its deed of association, which would materially affect its activities, or its financial position as at 31 March 2025.

Rsm

Registration no. 286
23 May 2025
Manama, Kingdom of Bahrain

Mindteck Middle East Limited WLL

Statement of financial position as at 31 March 2025 (in Bahraini Dinars)

	Note	2025	2024
Assets			
Non-current assets			
Plant and equipment	5	688	1,163
		688	1,163
Current assets			
Contract assets	6	48,010	51,623
Accounts and other receivables	7	167,741	186,487
Advances, deposits and prepayments	8	15,002	11,342
Bank balances		209,082	147,209
		439,835	396,661
Total assets		440,523	397,824
Equity and liabilities			
Equity			
Share capital	9	50,000	50,000
Statutory reserve	10	25,000	25,000
Retained earnings		220,761	154,637
		295,761	229,637
Non-current liabilities			
Employee terminal benefits	11	52,731	57,742
		52,731	57,742
Current liabilities			
Accounts and other payables	12	54,947	51,399
Contract Liability		-	921
Accrued and other liabilities	13	37,084	58,125
		92,031	110,445
Total equity and liabilities		440,523	397,824

These financial statements were approved by the Board of Directors on 23 May 2025 and signed on its behalf by:

Paradeep Kizhakkethil
Director

Sathya Raja Gopal
Director

Notes 1 to 23 on pages 11 to 21 form an integral part of these financial statements.

Mindteck Middle East Limited WLL
Statement of profit or loss and other comprehensive income
for the year ended 31 March 2025 (in Bahraini Dinars)

	Note	2025	2024
Income			
Revenue	14	1,065,178	1,078,843
Direct costs	15	(948,190)	(940,491)
Gross profit		**116,988**	**138,352**
Other income	16	26,196	34,606
		143,184	172,958
Expenses			
General and administrative expenses	17	70,201	57,339
Marketing expenses		6,859	5,148
		77,060	62,487
Profit for the year		66,124	110,471
Other comprehensive income for the year		-	-
Total comprehensive income for the year		66,124	110,471

These financial statements were approved by the Board of Directors on 23 May 2025 and signed on its behalf by:

Paradeep Kizhakkethil
Director

Sathya Raja Gopal
Director

Notes 1 to 23 on pages 11 to 21 form an integral part of these financial statements.

	Share capital	Statutory reserve	Retained earnings	Total
As at 1 April 2023	50,000	25,000	44,166	**119,166**
Profit for the year	-	-	110,471	**110,471**
As at 31 March 2024	**50,000**	**25,000**	**154,637**	**229,637**
Profit for the year	-	-	66,124	**66,124**
As at 31 March 2025	**50,000**	**25,000**	**220,761**	**295,761**

	2025	2024
Cash flows from operating activities:		
Profit for the year	66,124	110,471
Adjustments for:		
Depreciation on plant and equipment	1,045	1,282
Reversal of expected credit losses on accounts receivables	(913)	-
Provision for employee benefits	4,318	20,105
Changes in operating assets and liabilities		
Contract assets	3,613	(6,399)
Accounts and other receivables	19,659	(36,032)
Advances, deposits and prepayments	(3,660)	(1,464)
Accounts and other payables	3,548	(24,029)
Due to related parties	-	(5,848)
Accrued and other liabilities	(21,041)	28,433
Contract liability	(921)	(659)
Cash generated from operations	**71,772**	**85,860**
Employee benefits paid	(9,329)	(9,578)
Net cash generated from operating activities	**62,443**	**76,282**
Cash flows from investing activities:		
Payments for plant and equipment	(570)	-
Net cash used in investing activities	**(570)**	-
Net increase in cash and cash equivalents	**61,873**	**76,282**
Cash and cash equivalents at the beginning of the year	147,209	70,927
Cash and cash equivalents at the end of year	**209,082**	**147,209**

1. Legal status and principal activities

Mindteck Middle East Limited WLL, (the "Company"), is a limited liability company registered with the Ministry of Industry and Commerce in the Kingdom of Bahrain under commercial registration number 49063-1, dated 27 July 2002.

The principal activities of the company are computer programming and consultancy, computer facilities management.

The company is wholly owned subsidiary of Mindteck India Limited ("the parent company), domiciled in India. The parent company is owned by Trans Company Limited which is the ultimate parent company.

2. Basis of preparation

2.1. Statement of compliance

These financial statements have been prepared on a going concern basis and in accordance with IFRS Accounting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 March 2025, and the applicable provisions of the Bahrain Commercial Companies Law Decree No (21) of 2001 and its amendments.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in their capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

An asset is classified as current when: it is either expected to be realised or intended to be sold or consumed in the company's normal operating cycle; it is held primarily for the purpose of trading; it is expected to be realised within 12 months after the reporting period; or the asset is cash or cash equivalent unless restricted from being exchanged or used to settle a liability for at least 12 months after the reporting period. All other assets are classified as non-current.

A liability is classified as current when: it is either expected to be settled in the company's normal operating cycle; it is held primarily for the purpose of trading; it is due to be settled within 12 months after the reporting period; or there is no unconditional right to defer the settlement of the liability for at least 12 months after the reporting period. All other liabilities are classified as non-current.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

When an asset or liability, financial or non-financial, is measured at fair value for recognition or disclosure purposes, the fair value is based on the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date; and assumes that the transaction will take place either: in the principal market; or in the absence of a principal market, in the most advantageous market.

Fair value is measured using the assumptions that market participants would use when pricing the asset or liability, assuming they act in their economic best interests. For non-financial assets, the fair value measurement is based on its highest and best use. Valuation techniques that are appropriate in the circumstances and for which sufficient data are available to measure fair value, are used, maximising the use of relevant observable inputs and minimising the use of unobservable inputs.

Assets and liabilities measured at fair value are classified into three levels, using a fair value hierarchy that reflects the significance of the inputs used in making the measurements. Classifications are reviewed at each reporting date and transfers between levels are determined based on a reassessment of the lowest level of input that is significant to the fair value measurement.

For recurring and non-recurring fair value measurements, external valuers may be used when internal expertise is either not available or when the valuation is deemed to be significant. External valuers are selected based on market knowledge and reputation. Where there is a significant change in fair value of an asset or liability from one period to another, an analysis is undertaken, which includes a verification of the major inputs applied in the latest valuation and a comparison, where applicable, with external sources of data.

The Company is required to classify all assets and liabilities, measured at fair value, using a three level hierarchy, based on the lowest level of input that is significant to the entire fair value measurement, being: Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities that the entity can access at the measurement date; Level 2: Inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly or indirectly; and Level 3: Unobservable inputs for the asset or liability. Considerable judgement is required to determine what is significant to fair value and therefore which category the asset or liability is placed in can be subjective.

The fair value of assets and liabilities classified as level 3 is determined by the use of valuation models. These include discounted cash flow analysis or the use of observable inputs that require significant adjustments based on unobservable inputs.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currencies for these financial statements. Amounts are rounded to the nearest BD, unless otherwise stated.

2.3. New and amended accounting standards and interpretations

The Company has adopted all of the new or amended Accounting Standards and Interpretations issued by the International Accounting Standards Board ('IASB') that are mandatory for the current reporting period.

Any new or amended Accounting Standards or Interpretations that are not yet mandatory have not been early adopted. The company has not yet assessed the impact of these new or amended Accounting Standards and Interpretations.

3. Summary of material accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on a straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Computer and office equipment	15% - 33%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2. Right-of-use assets

The Company has elected not to recognise a right-of-use asset and corresponding lease liabilityforshort-term leases with terms of 12 months or less and leases of low-value assets.Lease payments on these assets are expensed to profit or loss as incurred.

3.3. Accounts and other receivables

Accounts receivables are initially recognised at fair value and subsequently measured at amortised cost using the effective interest method, less any allowance for expected credit losses. Accounts receivables are generally due for settlement within 30 days. The Company has applied the simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance. To measure the expected credit losses, accounts receivables have been grouped based on days overdue. Other receivables are recognised at amortised cost, less any allowance for expected credit losses.

3.4. Contract assets

Contract assets are recognised when the Company has transferred services to the customer but where the Company is yet to establish an unconditional right to consideration. Contract assets are treated as financial assets for impairment purposes.

3.5. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise bank balances. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

3.6. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

3.7. Employee benefits and entitlements

3.7.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, The Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.7.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.8. Government grants

Grants are recognised when the conditions for receipt are met and there is reasonable assurance that the grant will be received. Grants related to assets are initially taken to deferred income and then released to profit or loss on a systematic and rational basis over the useful lives of the related assets. Grants related to income and grants that are receivable as compensation for expenses or losses already incurred or for the purpose of giving immediate financial support to the Company with no future related costs are recognised in profit or loss in the period in which they become receivable.

3.9. Accounts and other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

3.10. Contract liabilities

Contract liabilities represent the Company's obligation to transfer goods or services to a customer and are recognised when a customer pays consideration, or when the Company recognises a receivable to reflect its unconditional right to consideration (whichever is earlier) before the Company has transferred the goods or services to the customer.

3.11. Value-Added Tax ('VAT')

Revenues, expenses and assets are recognised net of the amount of associated VAT, unless the VAT incurred is not recoverable from the tax authority. In this case it is recognised as part of the cost of the acquisition of the asset or as part of the expense. Receivables and payables are stated inclusive of the amount of VAT receivable or payable. The net amount of VAT recoverable from, or payable to, the tax authority is included in other receivables or other payables in the statement of financial position. Commitments and contingencies are disclosed net of the amount of VAT recoverable from, or payable to, the tax authority.

3.12. Related party transactions

Related parties comprise the shareholder, directors and such other entities over which the Company or its shareholder can exercise significant influence or can be significantly influenced by those entities.

3.13. Revenue recognition

The Company recognises revenue as follows:

3.13.1. Revenue from contracts with customers

Revenue is recognised at an amount that reflects the consideration to which the Company is expected to be entitled in exchange for transferring services to a customer. For each contract with a customer, the Company: identifies the contract with a customer; identifies the performance obligations in the contract; determines the transaction price which takes into account estimates of variable consideration and the time value of money; allocates the transaction price to the separate performance obligations on the basis of the relative stand-alone selling price of each distinct service to be delivered; and recognises revenue when or as each performance obligation is satisfied in a manner that depicts the transfer to the customer of the services promised.

Variable consideration within the transaction price, if any, reflects concessions provided to the customer such as discounts, rebates and refunds, any potential bonuses receivable from the customer and any other contingent events. Such estimates are determined using either the 'expected value' or 'most likely amount' method. The measurement of variable consideration is subject to a constraining principle whereby revenue will only be recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. The measurement constraint continues until the uncertainty associated with the variable consideration is subsequently resolved. Amounts received that are subject to the constraining principle are recognised as a refund liability.

3.13.2. Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered based on either a fixed price or an hourly rate.

3.13.3. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.14. Foreign currency

Foreign currency transactions are translated into International and currency units using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at financial year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

3.15. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and The Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

4. Critical accounting judgements, estimates and assumptions

The preparation of the financial statements requires management to make judgements, estimates and assumptions that affect the reported amounts in the financial statements. Management continually evaluates its judgements and estimates in relation to assets, liabilities, contingent liabilities, revenue and expenses. Management bases its judgements, estimates and assumptions on historical experience and on other various factors, including expectations of future events, management believes to be reasonable under the circumstances. The resulting accounting judgements and estimates will seldom equal the related actual results. The judgements, estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are discussed below.

4.1. Estimation of useful lives of assets

The Company determines the estimated useful lives and related depreciation and amortisation charges for its plant and equipment and finite life intangible assets. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation and amortisation charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

4.2. Allowance for expected credit losses

The allowance for expected credit losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience, historical collection rates.

4.3. Impairment of non-financial assets

The company assesses impairment of non-financial assets at each reporting date by evaluating conditions specific to the company and to the particular asset that may lead to impairment. If an impairment trigger exists, the recoverable amount of the asset is determined. This involves fair value less costs of disposal or value-in-use calculations, which incorporate a number of key estimates and assumptions.

4.4. Provisions

Provisions are recognised when the Company has a present (legal or constructive) obligation as a result of a past event, it is probable the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. If the time value of money is material, provisions are discounted using a current pre-tax rate specific to the liability. The increase in the provision resulting from the passage of time is recognised as a finance cost.

4.5. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

5. Plant and equipment

	Computer and office equipment	Total
Cost :		
At 1 April 2023	7,270	7,270
At 31 March 2024	**7,270**	**7,270**
Additions	570	570
At 31 March 2025	**7,840**	**7,840**
Accumulated depreciation :		
At 1 April 2023	4,825	4,825
Depreciation for the year	1,282	1,282
At 31 March 2024	**6,107**	**6,107**
Depreciation for the year	1,045	1,045
At 31 March 2025	**7,152**	**7,152**
Carrying amount :		
At 31 March 2024	1,163	1,163
At 31 March 2025	**688**	**688**

Fully depreciated plant and equipment still in use had a cost of BD 6,809 (2024: BD 3,348).

6. Contract assets

	2025	2024
Opening balance	51,623	45,224
Additions	48,010	51,623
Transfer to accounts receivables	(51,623)	(45,224)
	48,010	51,623

7. Accounts and other receivables

	Note	2025	2024
Accounts receivables		157,490	188,823
Less: Allowance for expected credit losses	7.1	(913)	(2,336)
		156,577	186,487
Other Receivables		11,164	-
		167,741	186,487

7.1. Allowance for expected credit losses

	2025	2024
Opening Balance	2,336	2,336
Reversal during the year	(1,423)	-
Closing Balance	913	2,336

The ageing of the receivables and allowance for expected credit losses provided for above are as follows:

	Expected credit loss rate		Carrying amount		Allowance for expected credit losses	
	2025 %	2024 %	2025	2024	2025	2024
Not overdue	0.45%	0.29%	103,139	110,235	468	320
0 to 3 months overdue	0.70%	1.42%	51,559	75,574	361	1,076
3 to 6 months overdue	3.00%	5.10%	2,792	1,444	84	74
Over 6 months overdue	55.15%	55.15%	-	1,570	-	866
			157,490	188,823	913	2,336

8. Advances, deposits and prepayments

	2025	2024
Prepayments	11,216	8,301
Advances to supplier	2,621	2,019
Advances to employees	643	500
Tender deposits	522	522
	15,002	11,342

9. Share capital

The share capital of the Company is BD 50,000 (2024: BD 50,000) comprising of 500 shares of BD 100 each, wholly owned by Mindteck India Limited.

10. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, no transfer is made to such reserve, as the minimum requirement has already been met (2024: Nil).

11. Employee terminal benefits

	2025	2024
Opening balance	57,742	47,215
Payments during the year	(9,329)	(9,578)
Provision for the year	4,318	20,105
	52,731	57,742

12. Accounts and other payables

	Note	2025	2024
Accounts payables	12.1	14,429	14,616
VAT payable		25,919	31,172
Salaries payable		1,962	5,385
Other payables		5,147	226
Payable to SIO		7,490	-
		54,947	51,399

12.1. Accounts payables include balances payable to related parties as follows:

	Relationship	2025	2024
Mindteck India Limited	Parent company	11,780	11,732
Mindteck Software Malaysia Sdn Bhd	Affiliate	677	645
		12,457	12,377

13. Accrued and other liabilities

	2025	2024
Leave salary	15,521	18,782
Accrued expenses	21,563	39,343
	37,084	58,125

14. Revenue

	2025	2024
Revenue from contracts with customers		
Services transferred over time	1,065,178	1,078,843
	1,065,178	1,078,843

Disaggregation of revenue

	2025	2024
Geographical regions		
Bahrain	1,065,178	1,047,769
GCC	-	31,074
	1,065,178	1,078,843

15. Direct costs

	Note	2025	2024
Employee costs	17.1	805,890	743,327
Subcontractor costs		133,567	190,659
Travelling and conveyance		8,733	4,009
Other direct costs		-	2,496
		948,190	940,491

16. Other income

	Note	2025	2024
Government grants	16.1	16,956	30,645
Exchange loss		(588)	(854)
Reversal of provision	7.1	1,423	-
Miscellanous		8,405	4,815
		26,196	34,606

16.1. Government grants represents salary support received from the Social Insurance Organisation (SIO), under the directives of the government, for the salaries of insured Bahraini employees.

17. General and administrative expenses

	Note	2025	2024
Employee costs	17.1	53,219	43,738
Short term lease	17.2	6,000	5,517
Bank charges		2,679	2,844
Professional fee		1,564	1,692
Depreciation on plant and equipment	5	1,045	1,282
Communication		642	589
Utilities		480	436
Insurance		-	77
Miscellaneous		4,572	1,164
		70,201	57,339

17.1. Employee costs

	2025	2024
Salary and allowances	713,322	665,623
Social and medical insurance	74,828	68,456
Employee benefits	34,772	24,741
Incentives	26,932	18,995
Visa and LMRA	8,951	9,015
Employee welfare	304	235
	859,109	787,065

The employee costs have been allocated in the statement of profit or loss and other comprehensive income as follows:

	Note	2025	2024
Direct costs	15	805,890	743,327
General and administrative expenses	17	53,219	43,738
		859,109	787,065

17.2. The Company's lease of office building is not exceeding 12 months. Hence the rent have been expensed as incurred and not capitalised as right-of-use asset.

18. Related party transactions

18.1. Parent and ultimate controlling party

The Company is controlled by Mindteck India Limited incorporated in India, which is the intermediate parent company, and holds 100% of its ordinary share capital. Mindteck India Limited in turn is controlled by Trans Company Limited incorporated in the British Virgin Islands which is the ultimate controlling party.

18.2. Transactions with parent company

	2025	2024
Purchase of IT and other services	44,837	125,131

18.3. Other related parties

	2025	2024
Purchase of IT services	8,066	7,596
Repayment of advances	-	5,848

19. Contingencies and commitments

19.1. Contingencies

There were no material contingencies and commitments known as at 31 March 2025 and 31 March 2024.

20. Financial instruments

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits and accounts and other receivables. Financial liabilities include accounts and other payables,. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

20.1. Credit risk

Credit risk is the risk that a counterparty will default on its contractual obligations resulting in financial loss to the Company. All financial assets are subject to credit risk. The maximum exposure to credit risk at the reporting date to recognised financial assets is the carrying amount, net of any provisions for impairment of those assets, as disclosed in the statement of financial position and notes to the financial statements. The carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2025	2024
Bank balances	209,082	147,209
Tender deposits	522	522
Accounts and other receivables	167,741	186,487
	377,345	334,218

The Company has adopted a lifetime expected loss allowance in estimating expected credit losses to accounts receivables through the use of a provisions matrix using fixed rates of credit loss provisioning. These provisions are considered representative across all customers of the Company based on recent sales experience, historical collection rates and forward-looking information that is available.

20.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. The Company mainly deals in Bahraini Dinar and other GCC currencies that are pegged to United States Dollar, hence not exposed to foreign exchange risk.

20.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial liabilities at 31 December is as follows:

	2025		2024	
	1 year or less	Remaining Contractual Maturities	1 year or less	Remaining Contractual Maturities
Accounts and other payables	54,947	54,947	51,399	51,399
	54,947	54,947	51,399	51,399

21. Fair value measurement

The carrying amounts of accounts and other receivables and accounts and other payables are assumed to approximate their fair values due to their short-term nature. The fair value of financial liabilities is estimated by discounting the remaining contractual maturities at the current market interest rate that is available for similar financial liabilities.

22. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.

23. Events after the reporting period

No matter or circumstance has arisen since 31 March 2025 that has significantly affected, or may significantly affect the Company's operations, the results of those operations, or the Company's state of affairs in future financial years.